J.P.Morgan

Global Markets Strategy
16 October 2026

US Fixed Income Overview

It hurts my Seoul

- **Econ**: Despite a firm CPI print, we continue to look for the next Fed hike at the December meeting as recent Fedspeak suggests a more patient Committee overall
- **Treasuries**: With the front end still flagging cheap and the curve appearing too flat, we think 10s/30s steepeners are a low-beta way to get long the front end: we recommend adding tactical 10s/30s steepening exposure. This trade also offers value if Treasury does not give an indication that it will make cuts to long-end issuance at the November refunding announcement. We think it would be imprudent to cut one source of funding when end-user primary demand has been strong, and we think future auction size increases should be focused in the 2- to 10-year sector, while keeping long-end sizes unchanged. We also recommend holding onto 10s/20s/30s belly cheapening butterflies. Initiate 1Yx1Y zero coupon inflation swap wideners to position for rising inflation risks into the October FOMC meeting
- **Interest Rate Derivatives:** We recommend positioning for a correction in TFP by initiating 10s/30s swap spread curve flatteners as the curve is at its steepest levels with respect to current history. With not much midterm election event premium priced in, we continue to prefer soft bearish expressions in the upper right side, and recommend maintaining shorts in 6Mx30Y versus 1Yx30Y
- **Short Duration**: The November/December SOFR-FF curve has flattened, as expected, and we think there is scope for additional flattening given December's $175bn in T-bill paydowns, a lower TGA versus November, and the likelihood that any incremental pressure is driven primarily by year-end balance sheet dynamics—which historically show up as firmer repo into the spot date
- **Securitized Products:** Spreads widened across products with the exception of Agency MBS, which outperformed. We update our MBS net issuance forecast and look for $115bn of fixed+hybrid net issuance in 2027. Jumbo floaters look attractive versus conventional and Ginnie floaters
- **Corporates:** Both HG and HY spreads have experienced sector dispersion, with the AI sector bearing a bulk of the spread widening, alongside decompression across quality tiers. In the IG space, this hyperscaler widening looks overdone to us once again. In the interim, we think front-end Financials are a defensive play that is likely to outperform
- **Near-term catalysts**: Consumer Sentiment (10/23), Manufacturing/Services PMI (10/23), FOMC Meeting (10/28), Real GDP 3Q (10/29), PCE (10/29)

Fixed Income Strategy

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Must Read This Week
US Corporate Credit: 2026 Midterm Election Implications, Tarek Hamid et. al., 10/16/26
Equity Strategy: Q3 Preview: Earnings delivery to reassure, Mislav Matejka, 10/12/26

And Now Hear This…
At Any Rate - US Rates: US CPI & TIPS: On firmer footing, Abiel Reinhart, Harry Downie, 10/15/26

It has been an eventful week as yields remained volatile and spreads across products widened out, with the exception of Agency MBS. Yields began their ascent higher after a strong CPI print across categories, and with the numbers in hand, we see core PCE rising 0.31%, lifting the over-year-ago rate from 3.0% to 3.1% (see *US CPI & TIPS: On firmer footing*, Abiel Reinhart & Harry Downie, 10/14/26). However, yields quickly reversed lower amid growing concerns over AI equity valuations, evident in the 15% fall in the KOSPI this week, and the ongoing underperformance of the NASDAQ relative to other domestic equity indices (**Figure 1**). Moreover, commentary from Fed officials this week gave no indication of the need to hike at consecutive meetings. Governor Bowman spoke on the sidelines of the IMF/World Bank meetings in Bangkok, arguing that she did not "feel any urgency for taking further action at this point." These comments came prior to the CPI release, but given Chair Warsh likely had the CPI data, and that Bowman is politically aligned with the Chair, it's unlikely that she spoke out of turn. Warsh ratified these comments on Friday, expressing optimism about the US economy, and saying that the economy had "broadly conformed to our expectations" since the September meeting. Against this backdrop, **we continue to look for a Fed on hold at the October meeting** (see *Economics*).

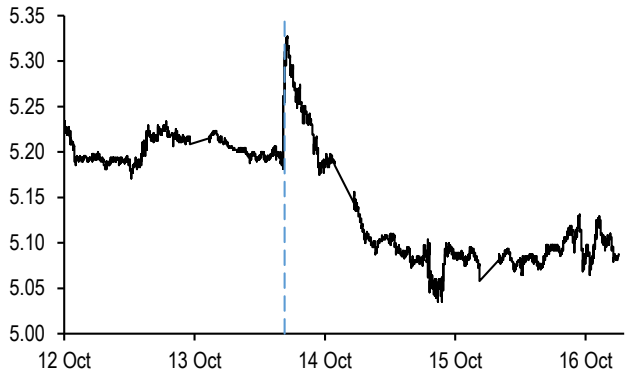
Given the moves in yields, we think there are some interesting opportunities along the Treasury curve. We've been making the case in recent weeks that the front end had finally been flagging somewhat cheap, and a bit of that value has eroded given the rally in the last few days. Moreover, it's interesting that the curve move has been somewhat parallel in this rally, as we would have expected more steepening given the front-end repricing that has occurred. **Figure 2** shows that 1y1y OIS has explained close to 90% of the variation in 10s/30s over the last 6 months, demonstrating that this curve tends to steepen 2bp for each 10bp decline in front-end rates. The curve currently appears 3bp flat on this basis, and this whole decoupling has occurred over the last week. On balance, with the front end still flagging somewhat cheap and the curve appearing too flat given the level of front-end yields, we think 10s/30s steepeners are a low-beta way to get long the front end here, with some relative value to protect, given yields are now about 20bp off their local highs. This trade also offers value if Treasury does not give indication that it will make cuts to long-end issuance at the upcoming quarterly refunding announcement on November 4th. Accordingly, **we recommend adding tactical 10s/30s steepening exposure. We also recommend holding onto 10s/20s/30s belly cheapening butterflies.**

Overall, it is impressive that Treasury yields have declined sharply from their mid-week peaks, even in the face of strong data over the period. This rally could reflect one of three factors, or some combination of these three. **First**, the move in yields is finally affecting equity valuations. Our equity strategy team has found that there is an inverted "U" relationship between 10-year yields and S&P 500 multiples, and typically this relationship turns negative when yields sit above 5% (see *Global Equity Strategy: Implications of Higher Rates for Equity Fundamentals, Valuation, and Positioning*, Dubravko Lakos-Bujas et al., 9/14/26). **Second,** position technicals could be cleaner than we had appreciated; our most recent Treasury Client Survey shows duration overweights have been pared back, but have not been fully neutralized.

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Figure 1: Treasury yields traded a 30bp range this week, ending lower

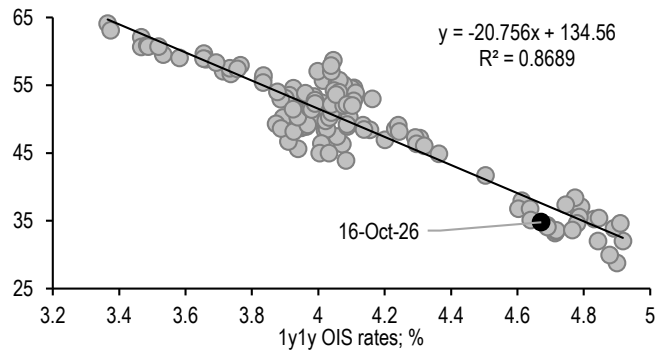
10-year Treasury yields intraday 10/13/26-10/16/26*; %



*Blue line denotes September CPI release
Source: Bloomberg Finance L.P.

Figure 2: The 10s/30s curve appears too flat and offers value

10s/30s Treasury curve regressed on 1y1y OIS rates (%), regression over the last 6 months; bp



Source: J.P. Morgan

Finally, it could be symptomatic of a shift in Treasury debt management strategy expectations: 30-year swap spreads widened 3-4bp as long-end yields declined and the curve flattened this week. Treasury released its primary dealer questionnaire today, and there was no explicit mention of cutting or discontinuing long-end issuance. Treasury did inquire about trends in structural demand for Treasuries and how auction sizes should change to reflect future expected shifts in demand, which market participants could perceive as leaving the door open for future cuts. We have argued for over a year now that the pace of demand for longer-duration assets should slow, however, in the face of a looming funding gap in 2027 and beyond, **it would be imprudent to cut one source of funding when end-user primary demand has been strong. Thus, we think future auction size increases should be focused in the 2- to 10-year sector, while keeping long-end sizes unchanged** (see *Treasuries*).

Against this backdrop, along with the decline in term funding premium, as we approach the quarterly refunding period, **we recommend positioning for a correction in TFP by initiating 10s/30s swap spread curve flatteners as the curve is at its steepest levels with respect to current history (Figure 3).** In options markets, we explore how implieds trade around midterms and we find that longer expiry vols tend to decline as we approach and get past midterm elections, likely reflecting event premium getting taken out. With not much event premium priced in, **we continue to prefer soft bearish expressions in the upper right side, and recommend maintaining shorts in 6Mx30Y versus 1Yx30Y** (see *Interest rate derivatives*).

Meanwhile, the broader move in rates this week has not translated into any observable pressure on funding markets. Indeed, over the past two weeks, SOFR and TGCR have continued to print below IORB, as expected. That said, we still expect funding to firm slightly, with SOFR potentially averaging flat-to-IORB over the final two weeks of October as markets continue to digest incremental T-bill supply, Canadian year-end dynamics, additional coupon settlements, and a potential temporary rise in the TGA—expected to run closer to $1.1tn for a few days in late October. Further out, as discussed just over two weeks ago, **we thought the November/December SOFR-FF (SERFFX6/SERFFZ6) curve had room to flatten, and it has since done so by 1bp. That said, we still think there is scope for additional flattening** given December's $175bn in T-bill paydowns, a lower TGA versus November, and the likelihood that any incremental pressure is driven primarily by year-end balance sheet dynamics—which historically

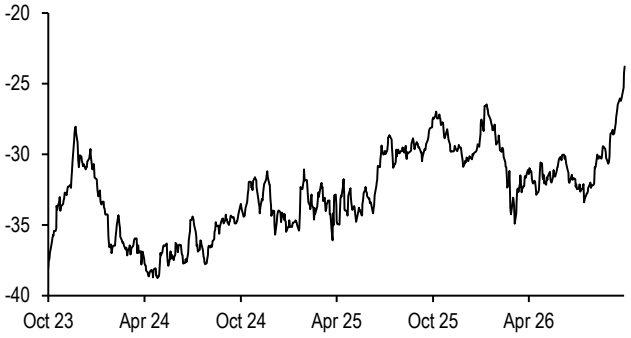
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show up as firmer repo into the spot date (see *Short-term fixed income*).

Turning to inflation markets, breakevens have narrowed over the past two weeks, as rising risk aversion and declining gasoline prices outweighed a firming in incoming inflation data. Looking ahead, we believe there is persistence to the firming signal in goods given ongoing supply chain disruptions and services across shelter and telephone services. Despite our expectations for a firm PCE print, Warsh's comments reinforced our view for patience in October, a potential widening catalyst for inflation markets. TIPS liquidity relative to nominal Treasury coupon liquidity declined to its lowest level year-to-date. Additionally, rising risk aversion has been a narrowing impulse on inflation markets but we anticipate it will fade as earnings season reassures risk takers. Against this backdrop, **we recommend initiating 1Yx1Y zero coupon inflation swap wideners to position for rising inflation risks into the October FOMC meeting**. 1Yx1Y is well supported technically, trading close to its 2.5% support level and looks over 1 standard deviation cheap relative to commodity prices, the market's expected Fed policy path, and risk aversion over the past 12 months (Figure 4; see *TIPS*).

Figure 3: The 10s30s spread curve is the steepest it has been in three years

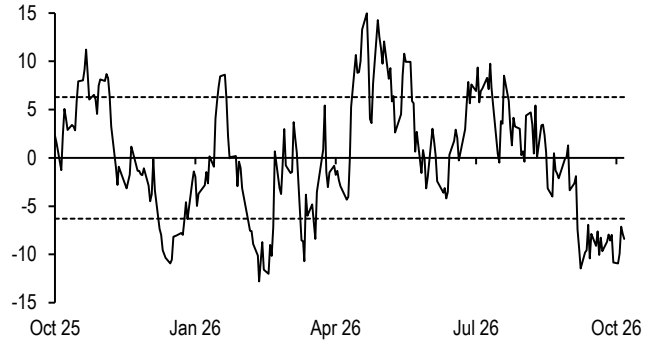
Maturity-matched 10s/30s SOFR swap spread curve; bp



Source: J.P. Morgan

Figure 4: 1Yx1Y looks over 1 standard error cheap after controlling for commodity prices, the market's expected Fed policy path and risk aversion over the past 12-months

Residual of 1Yx1Y zero-coupon inflation swap, regressed on commodity prices (JPMCCI; level), VIX index (level) and, Fed policy path (15Mx3M-3Mx3M OIS curve; bp); bp



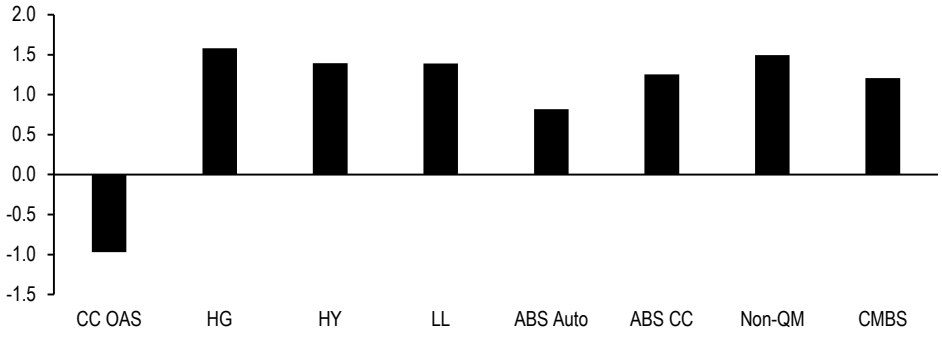
Regressed on daily changes over the past 12 months. R2 = 56%, SE = 6.29.
Source: J.P. Morgan

Spread products widened across the board this week except for mortgages, which reacted favorably to the general direction of the move on the longer end of the curve and shrugged off the hotter than expected CPI print (**Figure 5**). Indeed, option adjusted spreads on the stack are now about as tightly banded as they have been all year, with the OAS smile that was so prominent earlier much less pronounced as of Thursday. In our view, **it makes the case for taking on more prepayment modeling risk in the higher coupons somewhat less compelling than the simpler expression of basis in 5s and 5.5s**. For much of the year, investors were paid some additional OAS as compensation for going up the stack, and that's no longer the case. Meanwhile, banks began reporting Q3 earnings, and so far the data on changes in their bond holdings is somewhat mixed by firm. Deposit growth seemed steady and as of now there aren't huge concerns about betas into the nascent Fed hiking cycle. Hedging may have helped some institutions dampen AOCI volatility.

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Figure 5: Spreads widened on a volatility-adjusted basis across the board this week...except for mortgages

Rolling 1-week change in select spreads over the 1-year standard deviation of weekly changes



Source: J.P. Morgan

On the supply side, in light of the sharp increase in rates, **we update our MBS net issuance forecast and look for $115bn of fixed+hybrid net issuance in 2027**; this sounds large vs. the $200bn of net that we may see through 2026, but some of that has to do with the oddities of the timing of refi activity, and the decline in "adjusted net" is smaller (see *Mortgages*). Higher DM yields are also weighing on our CLO new issue supply expectations.

In the mortgage credit space, spreads continue to hover wider as investors grapple with higher mortgage rates and extension risk. When rates selloff, non-QM extends from both ends at once. Slower speeds leave collateral outstanding longer and higher funding costs make issuers less likely to call deals that were struck at lower rates. In a large rate selloff scenario, floaters are ultimately vulnerable to extension risk and hitting the cap. VADM bonds provide extension protection, while NAS bonds reduce prepayment risk. From a relative value standpoint**, jumbo floaters look attractive versus conventional and Ginnie floaters**. Jumbo PT, FCF and VADM screen tighter using ZV spread, but have less option cost than the floaters (see *RMBS*).

Meanwhile, agency CMBS, while having outperformed the mortgage index year-to-date, has underperformed the mortgage index over the last two weeks as the recent decline in interest rate volatility has benefited mortgages more than Agency CMBS. Spread widening across on-the-run conduit CMBS and our SASB indices was comparable. Across floating-rate SASB subsectors, data center AAAs have significantly underperformed our index, with AAA discount margins widening by about 12bp over the last 2 weeks compared to 3-9bp for other subsectors. AI angst is emerging again and causing AI-related risks to sell off, including data center debt (see *CMBS*). A similar theme persists in the investment grade credit space; IG hyperscaler spreads widened 12bp this week to 148bp, their widest level since July 2026, and just 6bp off its highs of 154bp reached in July, while JULI has only widened 4bp on the week. The AI subsector in the HY space has also seen similar trends, widening 56bp over the past week to 476bp which is up from 260bp in June.

The spread widening has also been accompanied by decompression across quality tiers. The spread differential between BBB and A Non-Financials widened 3bp this week to 37bp, its widest since April 2026. These moves suggest investors are demanding more compensation for lower-rated and capital-intensive credits rather than indiscriminately reducing HG exposure. The same theme persists going further down the stack; in the

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HY space, CCC spreads are now 96bp wider in October and at a high since March 2023, while B-rated spreads are only 34bp wider MTD. with fundamental stress in sectors such as Telecom and Cable being important drivers. Looking ahead, unless the upcoming earnings reports show fundamental weakness, **this hyperscaler widening looks overdone to us once again. In the interim, we think front-end Financials are a defensive play that is likely to outperform** (see *Corporates*).

The Leveraged Loan index produced a third consecutive weekly loss and the percentage of loans trading above par dipped to a 6-month low of 16% as September's resilience in the asset class fades. However, even with the softer tone, the floating-rate asset class continues to garner retail inflows which total $13bn over the past 16 weeks. Leveraged loan yields and spreads rose 8bp and 13bp over the past week to 9.66% and 513bp, respectively. Yields are hovering at a high since 2023 whereas spreads are now 40bp wider since late September (see *High Yield*). In terms of supply for CLOs, **we expect $130–140bn US CLO issuance in 2027, an active year, but down -7% to -13% from our FY26 forecast of $150bn** and 35% below last year's $205bn record. If sustained, higher investor hurdle rates, set against heavier debt burdens and funding needs across markets—from government deficit financing to AI capex borrowing by High Grade Corporates—risk raising the cost of capital and/or leaving liquidity less abundant for CLOs. Even as many are asking for our early view, we acknowledge the challenge of making a call at this stage, but do believe the CLO machine will prove flexible and resilient (see *CLOs*).

Another asset class that started to modestly fade from its resilience is ABS. The market has backed off from its tights, widening this week, however it has still outperformed other spread products. ABS still looks mostly rich relative to their recent ranges, as the spread ranges this year have been in a tighter band across the capital stack than observed in 2025. Demand has been good at wider spreads. As we look ahead, there remains plenty of year-end activity to be had with a busy November before Thanksgiving and the December holiday season (see *ABS*).

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Figure 6: Cross sector monitor

Current levels, change since 10/2/26, 1-year average, minimum, maximum, and current z-score for various market variables; units as indicated

		Current	Chg from 10/2	1Y avg	1Y min	1-year range: ● 10/16/26 ▲ 10/2/26 ═ 1M range	1Y max	Z-score
Global equities (level)	S&P 500	7659	-0.8%	7167	6344		7819	1.2
	E-STOXX	6204	-0.5%	6004	5501		6551	0.7
	FTSE 100	10882	4.0%	10321	9355		10911	1.4
	Nikkei 225	65324	-4.4%	59025	46847		72366	0.9
Sovereign par rates (%)	2Y US Treasury	4.73	-8.9	3.92	3.38		4.92	2.0
	2Y Germany	3.04	0.5	2.45	1.88		3.29	1.5
	2Y JGB	1.90	-0.1	1.35	0.88		1.96	2.0
	10Y US Treasury	5.10	-17.9	4.41	3.95		5.31	2.1
	10Y Germany	3.42	-4.1	3.01	2.57		3.65	1.7
	10Y JGB	2.93	-13.1	2.41	1.65		3.08	1.3
Funding spreads (bp)	2Y EUR par swap/gov't spd	-6	-3.9	-10	-12		-1	1.9
	2Y USD par swap/gov't spd	-13	1.7	-16	-24		-12	1.2
	EUR SOFR-OIS spd	118	1.7	139	98		195	-0.7
	USD SOFR-OIS spd	1	-0.9	4	1		8	-1.5
	1Y EUR-USD xccy basis	-3	1.3	-2	-9		2	-1.0
	1Y USD-JPY xccy basis	-20	1.3	-23	-32		-19	1.0
Credit spreads (bp)	30Y FNCL 4.5% Front Tsy OAS*	22	-2.4	16	6		29	1.0
	10Y AAA new issue CMBS spd to SOFR	117	1.0	116	105		137	0.1
	3Y AAA card ABS spd to SOFR	37	3	35	32		38	1.1
	JULI portfolio spd to Tsy*	96	1.7	91	82		104	1.3
	JPM US HY index spd to worst*	357	15.9	329	301		385	1.5
	EMBIG Div spd to worst*	192	-3.6	243	168		295	-1.9
	CEMBI Broad spd to worst*	171	3.2	171	143		203	0.0
	iBoxx Euro HG spd to govies*	71	-5.8	53	46		77	3.4
	US Financials spd to Tsy*	87	0.9	81	73		95	1.4
	Euro Financials spd to govies	91	-8.8	77	70		100	2.5
	10Y AAA muni spd to Tsy*	-134	-3.0	-140	-168		-102	0.5
	10Y AA taxable muni spd to Tsy*	54	3	47	38		54	1.7
Currencies	EUR/USD*	1.120	-0.7%	1.160	1.112		1.195	-2.6
	USD/CHF*	0.829	0.1%	0.798	0.765		0.839	2.0
	USD/JPY*	158.07	0.3%	157.70	150.44		163.92	0.1
	JPM Trade-weighted USD index	108.69	0.1%	107.49	105.63		109.41	1.2
	GBI-EM Global FX index*	83.38	0.3%	82.62	80.33		84.04	0.8
	Bitcoin spot	81567	-3.4%	78441	58642		114470	0.2
Commodities	Gold futures ($/t oz)*	4148	0.3%	4455	3961		5318	-0.9
	Brent oil futures ($/bbl)*	105.92	3.6%	84.06	58.92		112.57	1.3
	LME Copper 3M rolling forward ($/tonne)*	14347	0.6%	13013	10578		14768	1.2

Source: J.P. Morgan, Bloomberg Finance L.P., ICE, IHS Markit
* 10/15/26 levels for 30Y FNCL, JULI, US HY, EMBIG, CEMBI, iBoxx Euro HG, US financials, AAA munis, AA taxable munis, EUR/USD, USD/CHF, USD/JPY, GBI-EM Global FX, gold, brent oil, and copper; 10/16/26 levels for all others

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Figure 7: YTD returns on various fixed income indices; %

Index	Since last publication (10/2/2026)	Year-to-Date (as of 10/16/2026)
USD Cash	0.15%	3.1%
Aggregate GABI	1.53%	-0.3%
UST Agg	1.59%	-0.9%
UST 1-5y	0.59%	0.5%
UST 5-10y	1.82%	-2.1%
UST 10y+	0.00%	0.0%
UK	1.80%	-3.0%
Germany	0.01%	-5.6%
Italy	1.08%	-7.0%
Japan	0.94%	-4.3%
EM Sovereign	1.62%	0.0%
Agencies	0.55%	-0.4%
FN 3.0%	2.09%	-2.3%
FN 2.5%	2.12%	-2.7%
FN 2.0%	2.22%	-2.6%
ABS Fixed	0.37%	2.1%
HG Bonds	1.19%	-1.8%
AAA	2.00%	-4.0%
AA	1.22%	-2.8%
A	1.27%	-1.8%
BBB	1.10%	-1.6%
Fin	1.19%	-1.8%
Non-Fin	1.19%	-1.8%
HY Bonds	0.34%	1.2%
BB	0.62%	1.0%
B	0.35%	2.2%
CCC	-1.39%	-3.3%
EM Corporate	0.68%	0.3%
CLOIE	0.16%	4.0%
JUSTINE	1.14%	-0.8%

Source: J.P. Morgan

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